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JB3501 – Business Strategy

Business and its Environment

2026

Learning outcomes

- By the end of the class, you will:
  - Understand what a business model is, including how business firms create, deliver, and capture value.
  - Identify and appraise a firm's resources and capabilities.
  - Understand the role a firm's resources and capabilities play in formulating strategy.

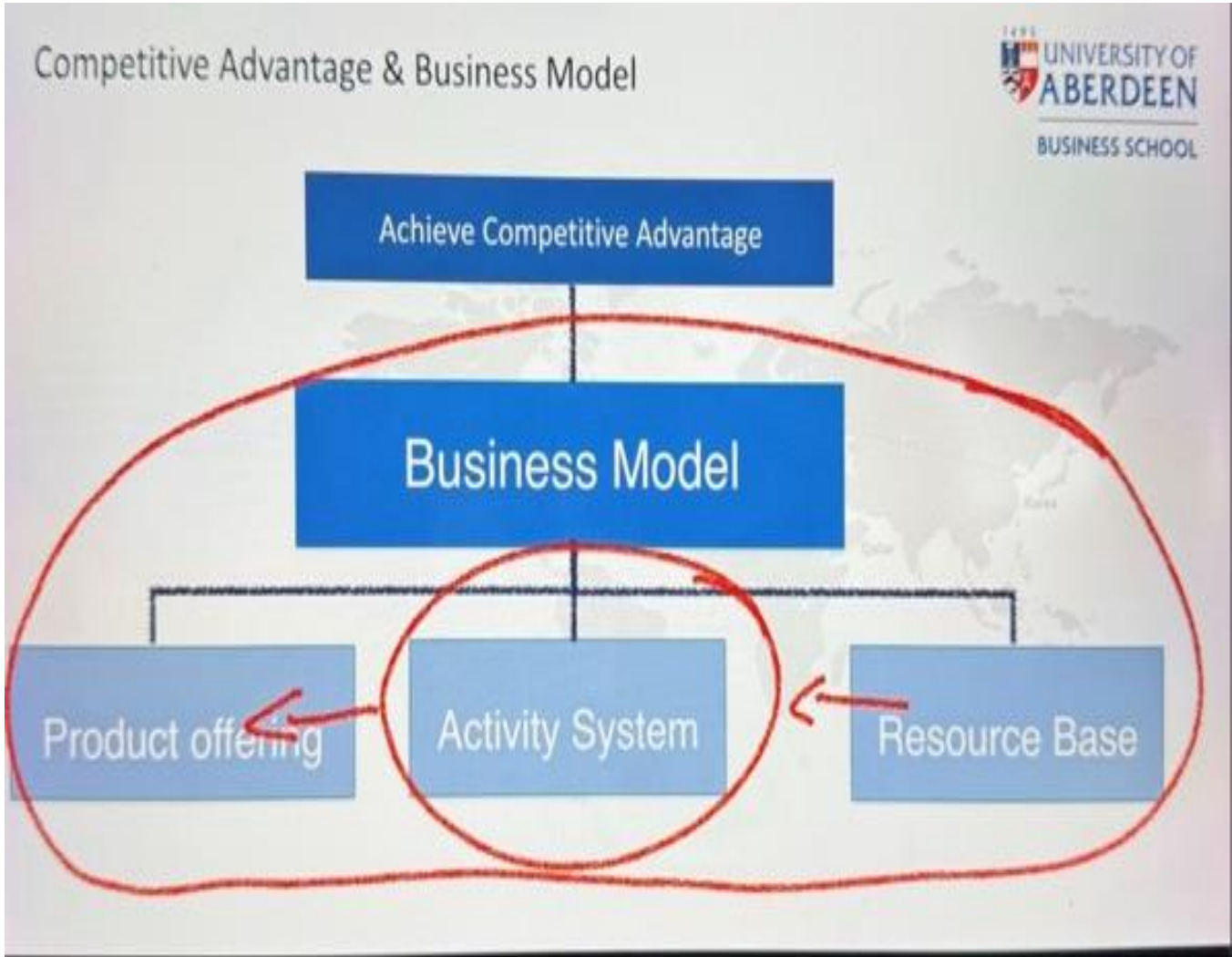
What is a business

- We can understand a business as the interception between a product or service and a market.
  - Product – Market = Business?
  - Market – Product = Business?

Product + market = Business!

Business model

- A business model describes how a company creates, delivers and captures value.



Business model

- The business model consists of a set of arrangements in the resource base, activity system and product offering.
  - Resource base (E.g., input resources).
  - Activity base (E,g., where activities are organised and transformed).
  - Product offering (E.g., Differentiated? Relevant? Outdated?).

Managing elements of the business model

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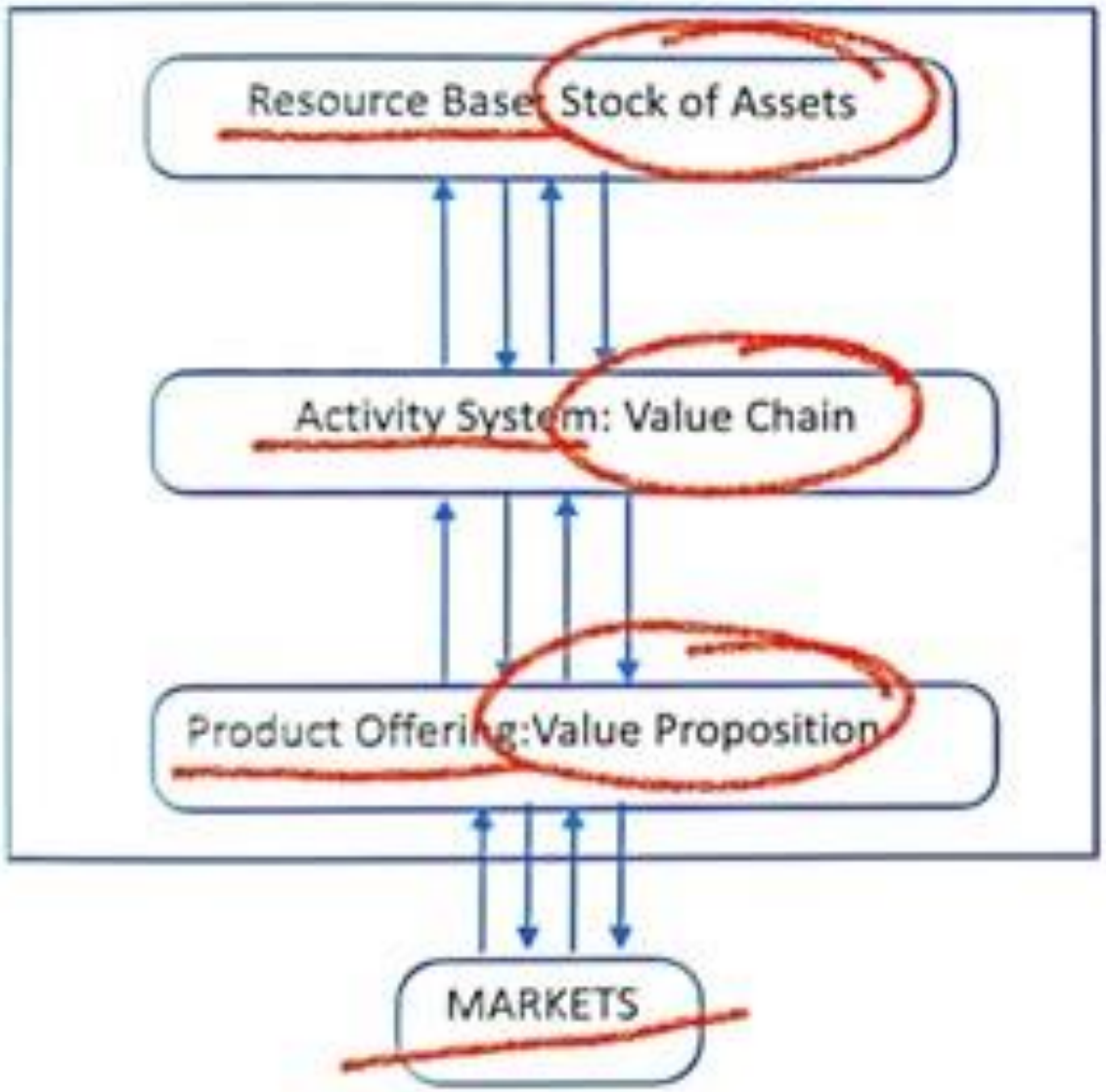


Brand, manufacturing facilities, expertise, data, skill, digital platform, network etc

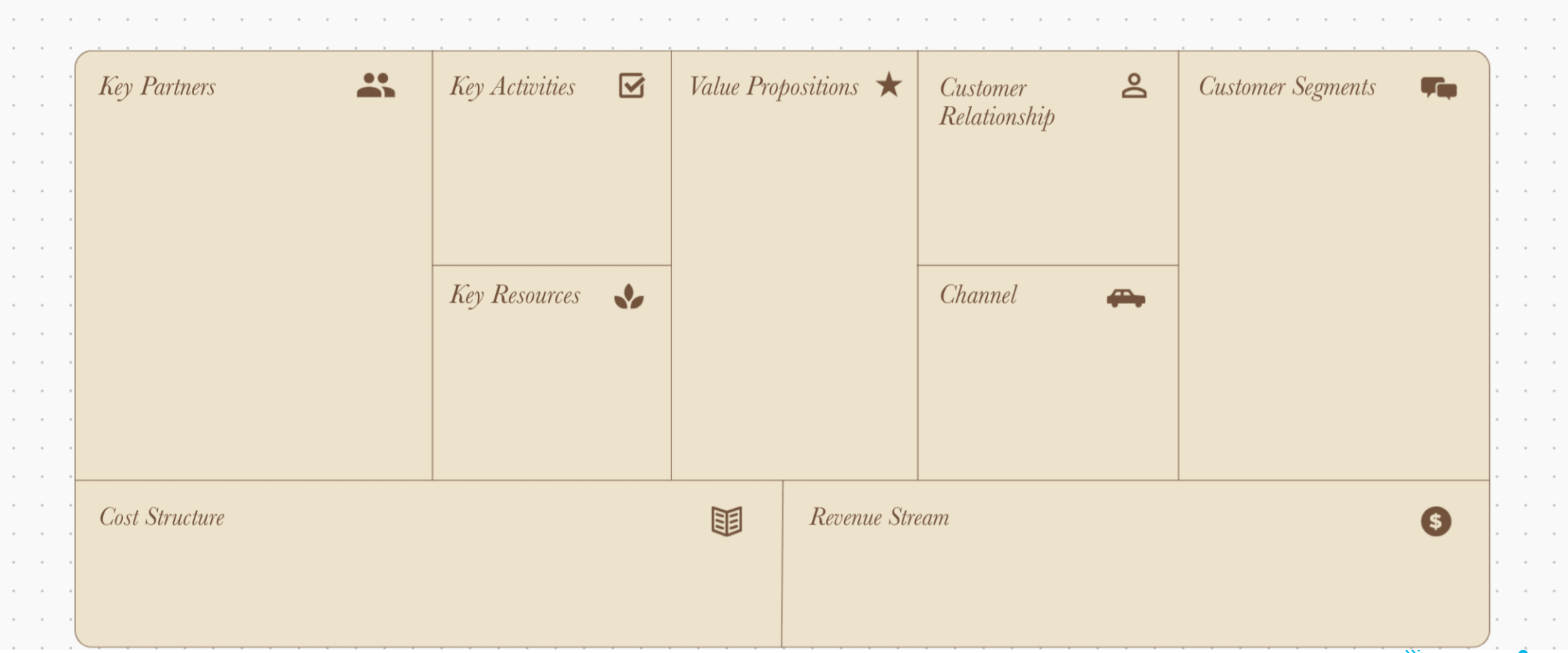
Revenue model, key activities (measured), manufacturing costs, value creation proposition, cost structure.

Persuasive and straightforward statement saying what makes you different and worth buying.

Target market, path to customers, keep up with current and potential customers, customer acquisition costs, life time value.

Example: Starbucks

The business model canvas

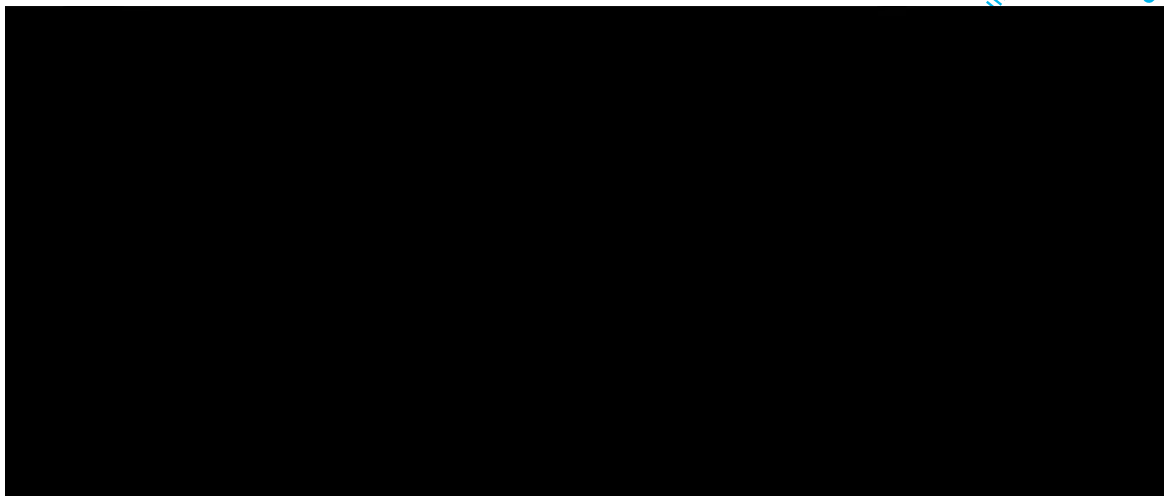


Example of a business model canvas you can create with Canva Whiteboards
https://www.canva.com/online-whiteboard/business-model-canvas/

Class Activity 1

How Lego started: Video

- Business model:
  1. Why has Lego been so successful?
  2. Will they be able to keep up the rate of innovation?
- Strategy diamond:
  3. Use the strategy diamond framework to explore Lego's strategy.

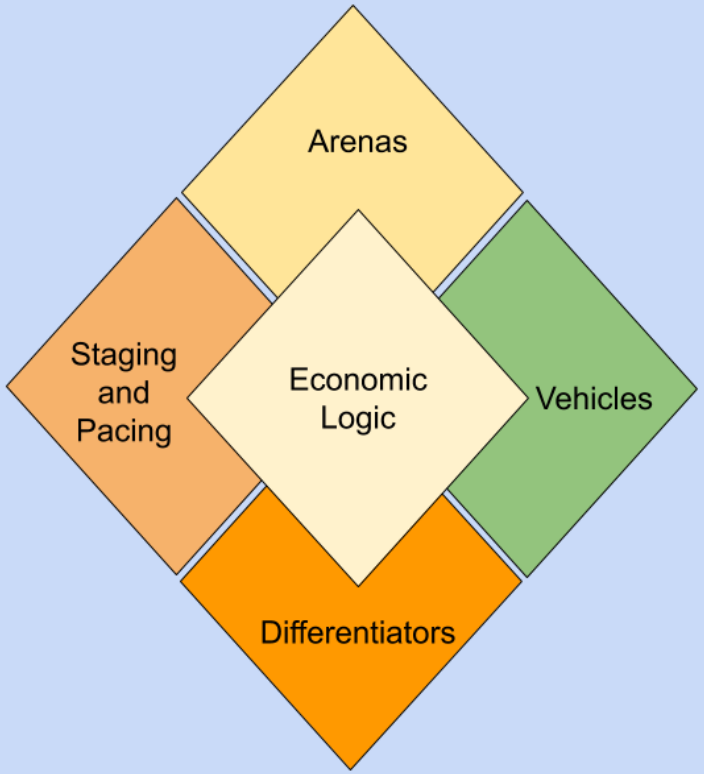


Strategy diamond

- Strategy diamond model questions:
  1. Where will we be active? (arenas)
  2. How will we get there? (vehicle)
  3. How will we win in the marketplace? (differentiators)
  4. What will be our speed and sequence of moves (sequencing)
  5. How will we make our returns? (economic logic)

Figure 6.1 The Strategy Diamond

Adapted from Hambrick, D.C., & Fredrickson, J.W. (2001). Are you sure you have a strategy? Academy of Management Executive, 19(4), 51-62.



Strategy diamond

- **Arenas** tell managers and employees where the firm will be active.
  - Which product categories?
  - Which channels?
  - Which market segments?
  - Which geographic areas?
  - Which core technologies?
  - Which value-creation strategies?

- Example, in the early 1960s**, Nike** was mainly operational in the US. Today, the company's geographic market arena are most major markets around the world.

Strategy diamond

- **Vehicles** communicate how the strategy will get there.
  - Internal development?
  - Joint ventures?
  - Licensing/franchising?
  - Alliances?
  - Acquisitions?

- For example, to adapt quickly to market conditions, **Toyota and Mazda** jointly established a factory in Alabama. The joint venture Mazda Toyota Manufacturing, U.S.A, Inc. began production in 2021 increasing production to up to 300,000 a year (Media.toyota.co.uk).

Strategy diamond

- **Differentiators** are competitive advantages concerned with how the firm will win.
  - Image?
  - Customization?
  - Price?
  - Styling?
  - Product reliability?
  - Speed to market?

- Nike brand become a valuable intangible asset because of the broad awareness and reputation for quality and high performance.

Strategy diamond

- **Staging and pacing** reflect the sequence and speed of strategic moves.
  - What moves will we make to get to where we want to be?
  - At what speed should we take these steps?
  - This powerful facet of strategising helps managers think about timing and the next steps.

- Example, **a food chain in Aberdeen** wanted to open another branch outside the city, but at the same time, they knew it was difficult to manage the restaurant if it was further away. Their creative solution was to choose cities easily accessible by road and cities with delivery services (e.g. Justeat, Ubereat).

Strategy diamond

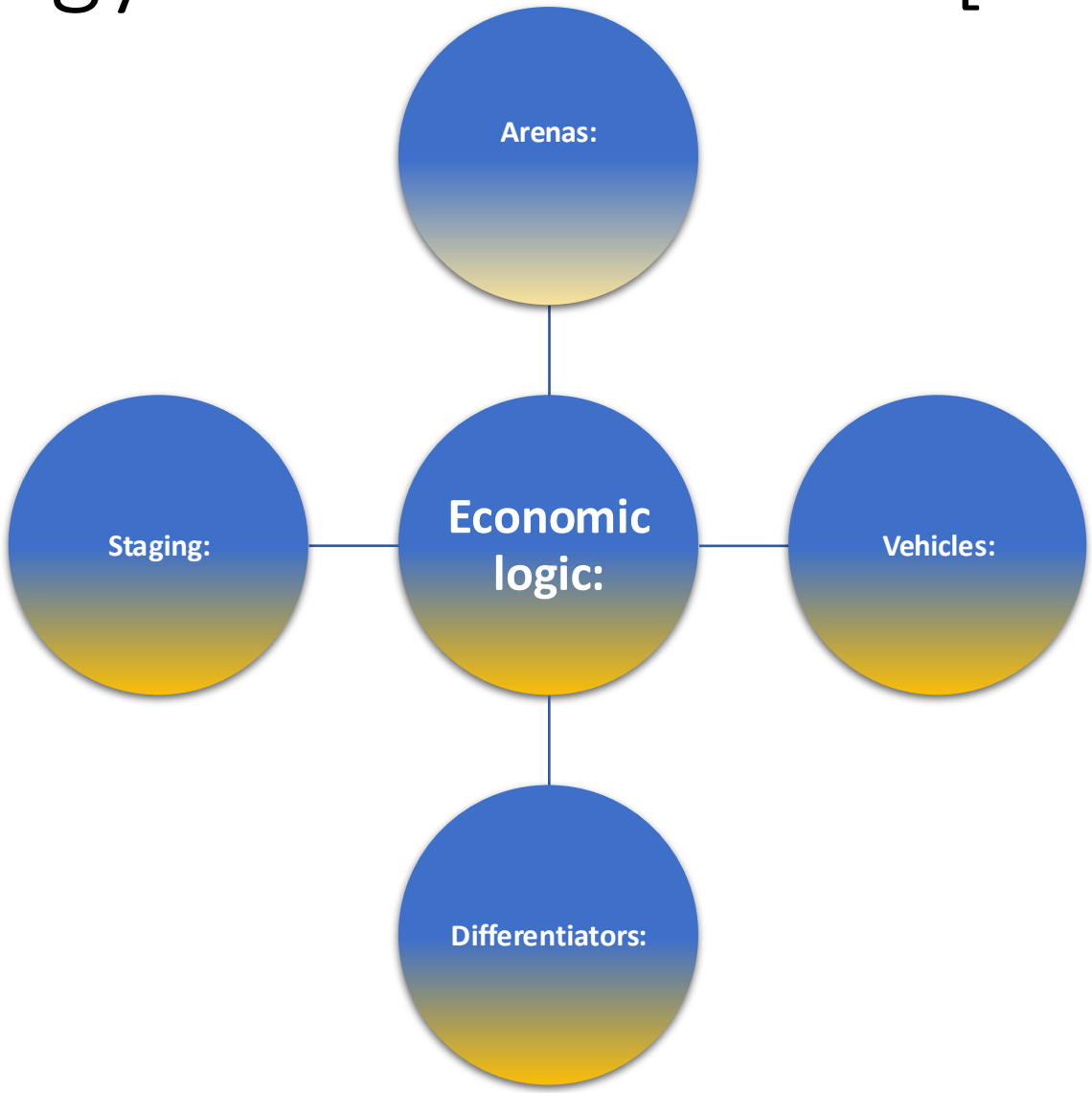
- **Economic logic** explains how the firm makes money above its cost of capital.
  - Lowest costs through scale advantages?
  - Lowest costs through scope and replication advantages?
  - Premium prices due to unmatchable service?
  - Premium prices due to proprietary product features?

Some criticisms

- Structured framework that might not fully capture the complexities of real-world strategic situations.
- Overemphasis on internal factors.
- Minimization of external market dynamics.
- Potential for oversimplification.

Class Activity 2

Apply the strategy diamond to IKEA [20 mins]



Indicative answer: Ikea strategy diamond

Resource-Based Value (RBV)

- Developed by Barney (1991).
- Strategic management theory that suggests a firm's competitive advantage comes from its unique resources and capabilities, rather than external conditions.
- Emphasizes the importance of internal resources in achieving long-term success.
- Key concepts are resources (e.g., tangible and intangible) and capabilities (firm's effective utilization of resources).

Resources and capabilities

Resources: what we have (nouns), e.g.		Capabilities: what we do (verbs), e.g.
Machines, buildings, raw materials, patents, databases, computer systems	Physical	Ways of achieving utilisation of plant, efficiency, productivity, flexibility, marketing
Balance sheet, cash flow, suppliers of funds	Financial	Ability to raise funds and manage cash flows, debtors, creditors, etc.
Managers, employees, partners, suppliers, customers	Human	How people gain and use experience, skills, knowledge, build relationships, motivate others and innovate

Identifying resources

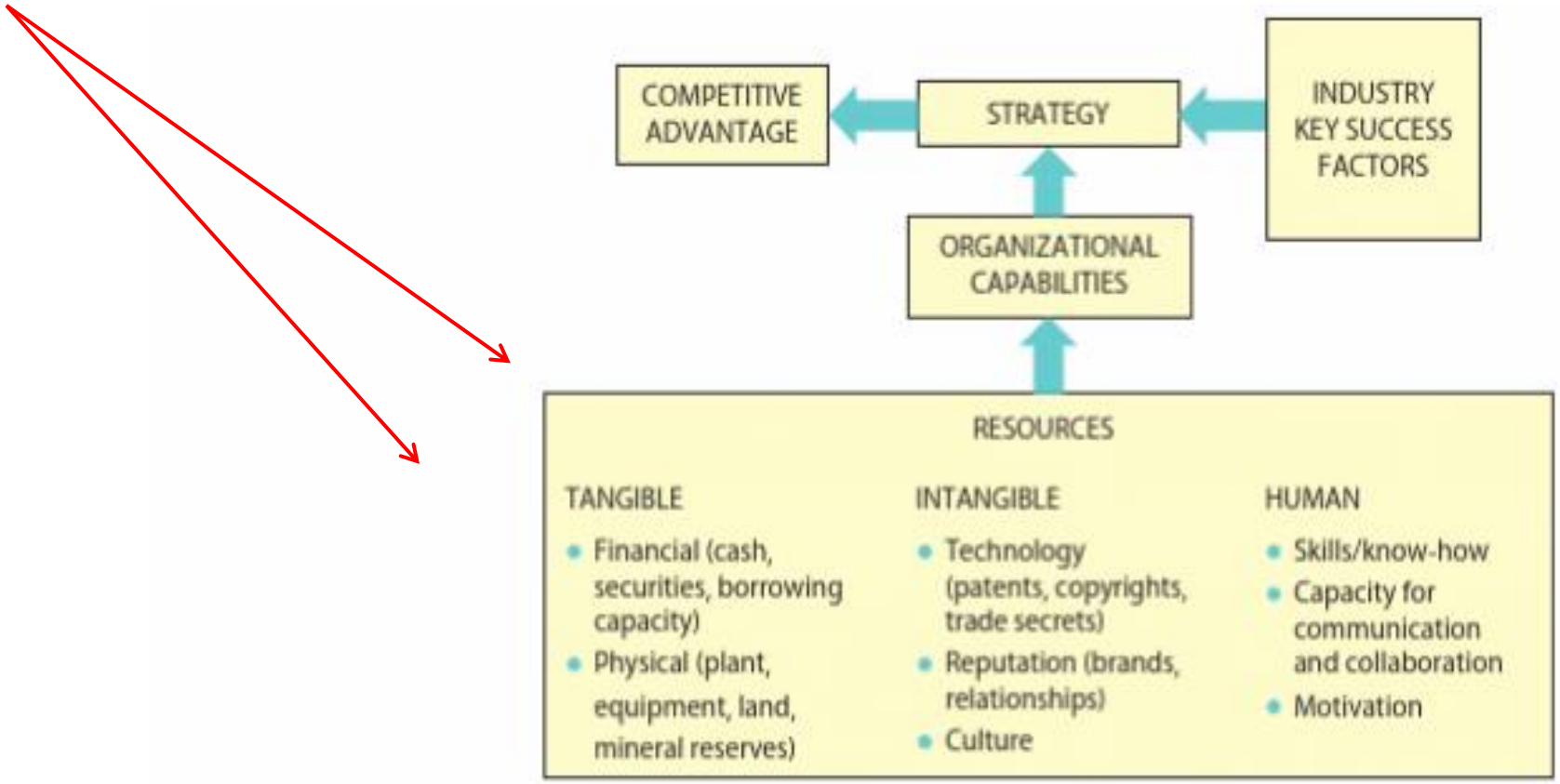
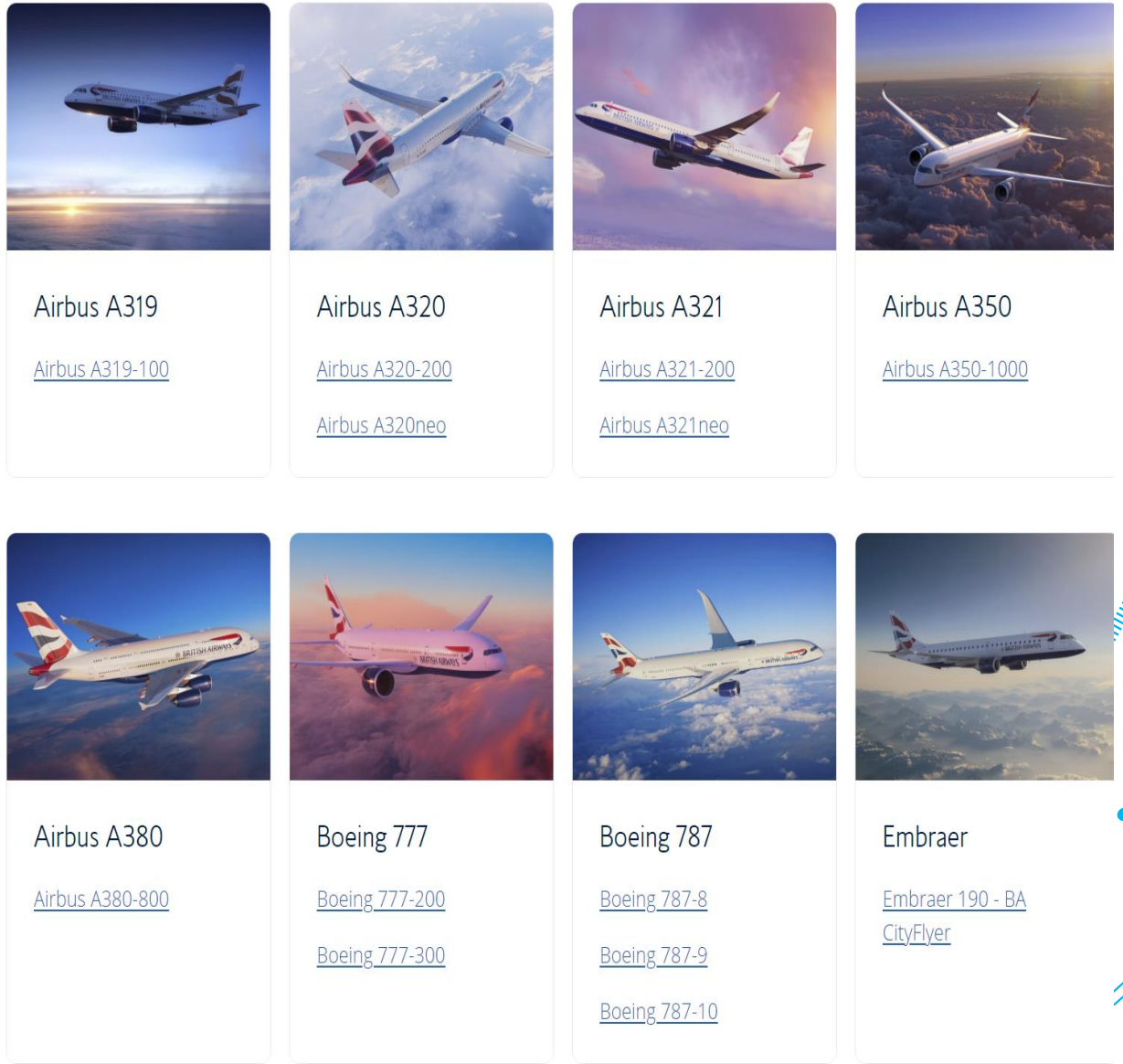


Figure 3.2 The links between resources, capabilities and competitive advantage.

Source: Grant and Jordan (2015, p. 89)

Tangible resources

- The easiest to identify and evaluate
  - Fleet of Aircraft
  - Airport facilities, e.g. Heathrow
  - IT infrastructure
  - Physical workforce
  - Onboard facilities



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Intangible resources

- ❑ May be more valuable than tangible resources.
- ❑ Remains largely invisible.
  - Brand value
  - Culture
  - Relationships
  - Reputation
  - Patents
  - Trade secret

New Trainers & Gear. Nike UK

Human resources

- ❑ Expertise and effort offered by employees.
- ❑ Like intangible resources, they do not appear on the balance sheet.
  - Skills
  - Know-how
  - Capacity for communication and collaboration
  - Motivation

https://www.ncaa.com

Identifying capabilities

- An organisation's capacity to deploy resources for a desired result.
  - Distinctive competencies – what organisations do well relative to their competitors.
  - Core competencies – provide a basis for entering new markets.

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How RBV relates to capabilities

- Resources are the tangible and intangible materials, but capabilities determine how well a firm can use its resources.
- Strong capabilities allow a firm to combine resources in unique ways to outperform competitors.
- Competitive advantage comes from developing capabilities that are hard to replicate (e.g. Amazon's logistics system).

VRIO Framework

Valuable – does it create value for the firm? (e.g. decrease costs or increase customers' willingness to pay)

Rare – do few or no other competitors have the capability or resources?

Inimitable – is it difficult for others to imitate or substitute the resource or capability?

Organisational support – is the right organisation infrastructure, assets, and culture in place to leverage the capability or resource?

VRIO – Tesla example

Resource or capability	Valuable?	Rare?	Inimitable?	Organisational support?	Competitive outcome
Exceptional scientists					
Patented technology					
Exclusive relationship with R & D partner					

VRIO – Tesla example

Activity [15 mins]

- ❑Identify Google's resources (tangible and intangible) and capabilities (core and distinctive competencies).
- ❑VRIO Analysis

Indicative answer

- Identify Google's resources (tangible and intangible) and capabilities (core and distinctive competencies).

Indicative answer

- VRIO Analysis

In summary

Importance of appraising resources and capabilities:

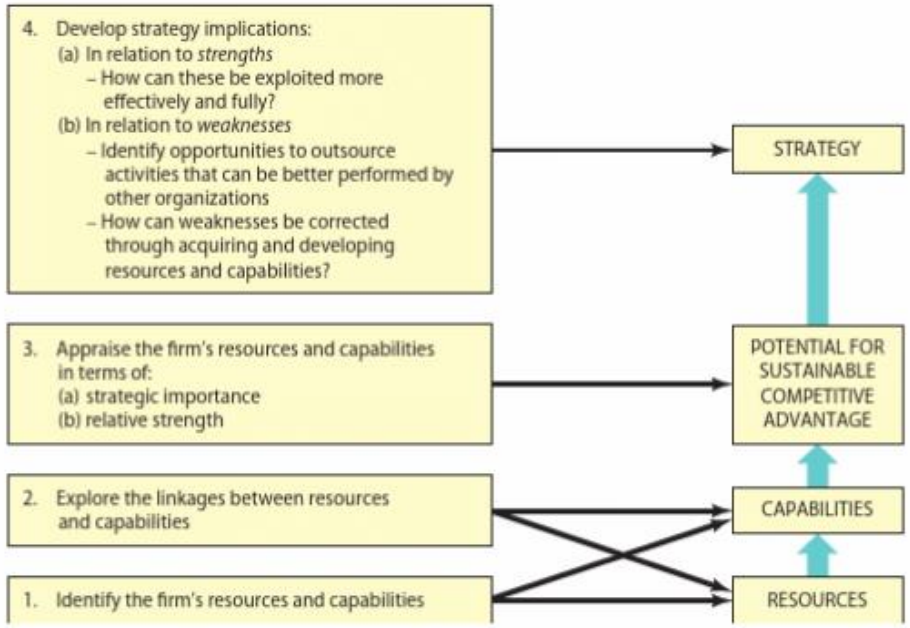

Figure 3.8 Summary: A framework for analysing resources and capabilities.

Source: Grant and Jordan (2015)

- Generate potential streams of profit.
- Maximizing efficiency and productivity.
- Create and sustain competitive advantage.
- Adaptability and value creation.
- Sustainability and long-term growth.
- Strategic decision making.

Any questions?

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